

Slovenia

Competition Protection Agency

I. Introduction

The Slovenian Competition Protection Agency (hereinafter ‘the Agency’) underwent a series of legislative changes in the past few years and the result of it is the fairly new The Prevention of Restriction of Competition Act (hereinafter: ZPOmK-2). The revised Act is the result of years of efforts by the Agency to improve the efficiency of its operations and strengthen the enforcement of competition law. It is important to emphasize that the new Act entails a large number of new and improved instruments aimed at more efficient proceedings in front of the Agency, however, the work is not completed and there are still some institutional challenges to be tackled in the next years.

The genesis of ZPOmK-2 lies in the need to introduce a unified procedure and to implement Directive (EU) 2019/1, also known as the ECN+ Directive, which requires Member States to enhance the independence and effectiveness of their national competition authorities.

In this contribution, we outline the main points and instruments introduced with the new ZPOmK-2, and offer insight into the practical outcome of these instruments combined with the computational tools already used by the Agency, along with a suggestion of measures planned to automate extraction and analysis of data and gain additional streams of data underlying potential infringements needed to elevate the efficiency of competition law enforcement in Slovenia onto an even higher level.

II. Legislative Evolution of the ZPOmK-2

The enactment of the ZPOmK-2 in the Republic of Slovenia represents a pivotal reform in national competition law, bringing together domestic competition enforcement mechanisms with European jurisprudence and rules, particularly ECN+ Directive. This article examines the legislative evolution that led to ZPOmK-2, outlines its key innovations, and analyses initial practical outcomes in the context of Slovenian and EU competition enforcement.

ZPOmK-2, applicable since 26 January 2023, introduced into Slovenian competition law several key changes that were long time needed for an effective

enforcement. It has to be noted that the transposition of the ECN+ Directive into Slovenian law was a turning point that opened Pandora's box also for other necessary changes in the competition law field. To mention just one, this reform finally led to the replacement of the bifurcated enforcement system with a unified administrative procedure. Prior to this reform, the Agency was obliged to conduct two separate proceedings to sanction violations of competition law: initially, an administrative procedure had to be conducted to establish the infringement, followed by a separate misdemeanor procedure to impose sanctions on perpetrators.

This duplication entailed the application of divergent substantive and procedural rules, the use of separate procedural guarantees, the involvement of different judicial authorities and the use of two separate sets of legal remedies, each distinct for the said procedure. Such fragmentation significantly prolonged the time frame necessary for the enforcement, increased institutional burden and often led to legal inconsistencies, especially in the field of judiciary review. ZPOmK-2 eliminated this inefficiency by consolidating enforcement powers within a single streamlined administrative framework, thereby enhancing both the predictability and expediency of competition law enforcement in Slovenia.

III. Novelties of the ZPOmK-2

Among the most significant are the establishment of a unified administrative procedure replacing the previous dual system (administrative and misdemeanour procedures), the expansion of the Agency's investigative powers, especially with the use of interviews prior to initiation of proceedings, the introduction of a simplified merger notification procedure and, probably the most important one in terms of efficiency increase, the possibility of settlements and sanction reductions. These innovations have contributed significantly to greater legal clarity, procedural efficiency and predictability in the Agency's actions. The changes have already proven successful, enabling faster and more effective resolution of competition law infringements. The Agency admittedly needs to plan and execute additional measures to enhance automated gathering and analysis of data, in addition to that it also plans to set up an automated system of analysing the public procurement data aimed at discovering potential infringements.

The most notable changes include:

- the introduction of a unified administrative procedure for establishing infringements of competition law and for administratively sanctioning companies (prior to ZPOmK-2, the Agency had to conduct two separate

procedures: an administrative one to establish the infringement, and a misdemeanour procedure to impose fines, which in practice caused numerous issues such as delays, inconsistent court decisions in the same case, etc.);

- the expansion of the Agency's investigative powers, allowing it to collect information even before issuing a decision to initiate proceedings, directly from company representatives, employees, representatives of other legal entities, or individuals who may possess relevant information (under the previous regime, the Agency had only two investigative tools: data requests and inspections);
- the simplified merger notification procedure (a new instrument under Article 78 of ZPOmK-2, allowing the Agency to assess certain mergers in a simplified process, in line with the principle of procedural economy, reducing administrative and cost burdens for both the parties and the Agency);
- the possibility of reducing administrative sanctions based on a settlement application (a new instrument under Article 95 of ZPOmK-2, allowing the Agency to reduce a company's administrative sanction by up to 20%).

Although not explicitly referenced in ZPOmK-2, its strengthened institutional and procedural framework sets the stage for a broader integration of computational antitrust tools. The expansion of the Agency's investigative powers, especially the possibility to collect information prior to formal initiation of proceedings opens the door to incorporating digital technologies that assist in detecting patterns of anti-competitive behavior.

Technologies that cover algorithmic screening of tenders and public procurement data, pricing anomaly detection or network analysis to uncover potential collusion in complex markets are a priority for the Agency. The Agency is already cooperating with various institutions, such as the Court of Audit, the Commission for the Prevention of Corruption and the Public Procurement Directorate at the Ministry of Public Administration to obtain relevant data on public procurement tenders. The central public procurement database, along with data on contracting authorities, bidders, bids and individual bid components will enable the Agency to receive a continuous flow of information for analysis and the detection of potential collusive patterns in public procurement. At present, the Agency lacks the necessary expertise, hardware and software infrastructure, and human resources to conduct such analyses. For this reason, it successfully applied this year for the Technical Support Instrument programme of the European Commission, specifically to support its digital transformation in the field of

competition law enforcement. In this way, the Agency will develop the computational dimension of its enforcement activities and, through the use of such tools and software gain access to a new source of potential infringements.

To enhance transparency in the Agency's operations and ensure greater predictability, the Agency Council also adopted the Guidelines for Determining and Imposing Administrative Sanctions for Administrative Offences on 16 November 2023. These guidelines address the determination and imposition of sanctions for the most common administrative offences. They present only a general methodology, and the Agency may deviate from it in specific cases or to ensure a deterrent effect. The Agency's sanctioning practice must account for a wide range of circumstances, making it difficult to anticipate all possible scenarios in advance.

The effectiveness of the Agency's operations under the new powers granted by ZPOmK-2 has already been demonstrated in practice. Notably, in a case involving a prohibited restrictive agreement (infringement of Article 6 of ZPOmK-1 and Article 101 of the TFEU), the Agency imposed administrative sanctions totalling over 1 million EUR based on a decision issued in 2021. This decision was later on amended with a settlement proceeding that led to a successful closure of this proceeding in the year 2024 with the parties to the proceeding withdrawing their filed legal remedies in the Administrative Court. One party that submitted a leniency application was granted full immunity. With the withdrawal of all legal remedies by the parties—who actively and cooperatively participated in clarifying the facts, acknowledged the infringement, and withdrew their lawsuits before the Administrative Court—the proceedings were concluded with final effect for all parties involved.

It should also be noted that, with the support of enhanced capacities in hardware, software, and appropriately trained human resources as described above, the Agency will strengthen its ability to process large volumes of data obtained during investigations—an area in which it is currently under-resourced. These additional capacities will enable further development, particularly in the acquisition and analysis of data stored on remote servers or held by third-party entities, especially in cross-border cases involving companies suspected of infringements. This will lead the way for presenting to the court more substantial electronic evidence that will enable it to decide in a more informative way with the additional focus on evidence for the infringement.

In the field of mergers, the simplified merger review procedure introduced by ZPOmK-2 has proven effective in reducing the time required for merger

assessments. In 2024, the Slovenian Competition Protection Agency issued 13 decisions under the simplified procedure out of a total of 40 merger decisions. However, it is important to note that due to the increasing complexity of legal transactions underlying merger cases, the duration of these procedures has not yet been reduced to the level desired by both the parties involved and the Agency itself.

In merger control, computational tools for analysis of sets of data would enhance the support for assessment by modelling market concentration effects and simulating consumer harm scenarios. The agency is on the path of integrating such tools into its conduct of cases, however, as already set out, currently it is experiencing a lack of highly educated personnel with specific skills in computational analysis as well as in specialized econometric analysis. Due to a lack of adequate personnel, the Agency is also not yet able to adequately utilize hardware and software capacities—an issue it intends to address more actively in the future. Automated data processing and analysis would significantly reduce case handling times and enable more efficient and timely prioritization of cases, particularly those that could pose greater risks due to their potentially harmful effects and therefore require increased attention.

Nonetheless, in the area of merger control, the Agency is strengthening its use of its existing tool for processing larger volumes of data, particularly in the preparation and analysis of data stemming from requests for information. A few years ago, The Agency has agreed with the University of Ljubljana, Centre for Social Informatics at the Faculty of Social Sciences, on a special module of the computational tool 1KA,¹⁵ which allows the Agency's employees to create questionnaires based on a default customized questionnaire exclusively for Agency needs. The module is constantly upgraded so that the questionnaire completion certificate in terms of analysis of gathered data and extraction of substantial outcomes from the provided responses and data.

Given the increasing demands by courts for economic analysis in the substantiation of infringements—particularly in cases involving abuse of dominant position—the Agency, and specifically its economic unit, is expanding the use of such tools for data analysis in these proceedings as well. As previously noted, the Agency also plans additional investments to strengthen both its technical infrastructure and qualified human resources in order to enhance the analytical dimension of infringement assessment.

¹⁵ AVK - Vprašalniki, <https://vprasalniki.avk.si/> (last visited June 16, 2025).

IV. Future Prospects for the ZPOmK-2

Despite the procedural and structural advancements introduced by ZPOmK-2, a significant institutional limitation persists in the domain of judicial oversight. Under the current legal arrangement, the Agency lacks an effective legal remedy against decisions of the Administrative Court of the Republic of Slovenia. This asymmetry in appeal rights has proven problematic from the standpoint of institutional parity and the finality of legal determinations.

In the last 10 years, the Administrative Court has not decided itself in a single decision, apart from one decision in a repeated proceeding where the decision of the Agency was confirmed in 2021, which would open the door to the Parties for an appellate procedure. Instead, in every contested matter, the Court has identified—predominantly procedural—flaws and remanded the case to the Agency for reconsideration. This practice effectively precludes the Agency from pursuing an appeal, even in instances of principled disagreement with the Court’s interpretation. As such, the current system deprives the Agency of the opportunity to challenge jurisprudential developments and to ensure a balanced evolution of competition law doctrine.

Recognizing this shortcoming, the Agency plans to prioritize legislative reform aimed at enhancing judicial protection and procedural equity, thereby strengthening the integrity and resilience of Slovenia’s competition enforcement framework. In addition, the Agency expects that improved automated data collection and processing will enable it to provide courts with more electronic evidence and more effective analyses in the future—developments that, in the Agency’s view, would also enhance the quality and speed of judicial decision-making.

Looking ahead regarding the merger review, the Slovenian Competition Protection Agency intends to advocate for an increase in the merger notification fee, which currently stands at EUR 2,000. From a comparative perspective, this amount is relatively low and enables undertakings to obtain formal confirmations of compliance—or non-subordination—of their transactions to the provisions of ZPOmK-2 at minimal cost. In 2024 alone, there were 13 such cases in which notification was not legally required. The Agency believes that raising the fee could serve as a deterrent to unnecessary filings and thereby enhance the efficiency and integrity of the merger control system.

IV. Conclusion

The enactment of ZPOmK-2 marks an important milestone in the development of Slovenian competition law. Through the integration of a unified administrative procedure, the expansion of investigative powers, the introduction of a simplified merger notification regime and the establishment of a settlement mechanism, ZPOmK-2 has substantially improved procedural coherence, institutional capacity and enforcement efficiency. Empirical data from early implementation, including the growing use of the simplified procedure and successful application of settlements in important cartel cases affirms the practical impact of the law.

However, challenges remain also in the field of the integration of tailored data analysis into Agency enforcement practices. A new source of data on potential infringements derived from algorithmic analysis of public procurement could significantly enhance the Agency's effectiveness in prosecuting bid-rigging cases, particularly through the use of new instruments for faster and simplified procedures.

Nonetheless, certain systemic limitations remain. The Agency's de facto lack of appellate recourse in judicial review proceedings undermines its ability to challenge interpretive developments and constrains the formation of coherent jurisprudence. In addition, the Agency expects that improved automated data collection and processing will enable it to provide courts with more electronic evidence and more effective analyses in the future—developments that, in the Agency's view, would also enhance the quality and speed of judicial decision-making.

The unexpectedly high number of merger notifications that are essentially not subject to ZPOmK-2 provisions—facilitated by a comparatively low notification fee—also points to the need for further calibration of procedural incentives.

Looking forward, targeted legislative refinements—particularly in the areas of judicial review and merger notification thresholds—are essential to consolidate the gains achieved under ZPOmK-2. In doing so, Slovenia will not only fortify the rule of law within its domestic competition regime but also align more closely with the evolving standards of EU competition enforcement.